

receive timely news for making decisions and were able to execute trades immediately. In 1867 the first practical ticker was introduced, which also aided the dissemination of information in real time. These technological innovations made the stock exchanges more accessible to the population.

By the early 1900s, the stock market was a pop phenomenon, with songs such as “Bulls and Bears March and Two Step” hitting the street circa 1901, and with Stock Market Cigars being manufactured by an Ohio company circa 1903. American culture and the stock market became intertwined forever, a subject tackled by Robert Prechter, whose essay, “Elvis, Frankenstein and Andy Warhol,” appears in Part IV. One of the results of the rising popularity of the stock market in the early 1900s was rampant speculation by the small investor. Meanwhile, a new school of thought was formulating in the mind of one Benjamin Graham, who began his Wall Street career in 1914 and quickly recognized the need to cut through all this speculative nonsense that had taken hold of America.

In his memoirs, Graham recalled that a burgeoning financial services industry, which included pioneers John Moody and Roger W. Babson, was providing huge quantities of information ripe for analysis. “But in 1914,” Graham wrote, “this mass of financial information was largely going to waste in the area of common stock analysis. The figures were not ignored, but they were studied superficially and with little interest. . . . To a large degree, therefore, I found Wall Street virgin territory for examination by a genuine, penetrating analysis of security values.” The ultimate result was his seminal 1934 book, *Security Analysis*, coauthored by David Dodd, which is now regarded as the investor’s bible. Graham sought to discover the true value of a company and return expectations through diligent analysis, not through inside information, rumors, tips, and flights of fancy.

The importance of securities analysis cannot be ignored or treated lightly, which is why *The Book of Investing Wisdom* begins with “The Nuts and Bolts of Analysis,” and who bet-